

each on renos and furnishing. Now Angela's tapped out. Six months later, they break up. Scott offers to buy her out for \$30,000. They didn't sign a cohabitation agreement and they weren't married. Poor Angela. She's lost a big chunk of equity because she didn't act prudently from the beginning. Both Angela and Scott should have tested their relationship for several years before taking on such a huge financial responsibility. Instead, they jumped ahead to a three-bedroom house before making sure the relationship was going to last. Too much dreaming, not enough reality equal money down the drain. So beyond affordability, it's lack of stability—the moving, the flip-flopping, and the uncertainty inherent in our youth—that does people in financially.

## **Money Mistake: You Think Homeownership Is the Only Option**

### THE FIX: RENT, DON'T BUY

Before I dissect what kind of mortgage to get and how to pay it off faster, I want to touch on a little-discussed home option: renting. Because one way to be mortgage-free forever is to never buy a house to begin with. Or to sell at the right time and rent thereafter. Bear with me. This is often a tough nut to swallow. But here's the truth: *If you don't have the fortitude to cope with the insatiable costs of a house, you're better off renting.* It's not for everyone, but renting makes good financial sense for a lot of people. If you have a lot of debt, for instance, renting might be a better option. You would think the checks and balances of the loan application would render folks carrying big debt ineligible for a mortgage, but you'd be wrong. Banks want the business, and if you are making debt payments on time, they will consider you for a mortgage. But don't kid yourself. A house is a hotbed of the unexpected. If you have debt, you should rent.

If you're in your twenties, your primary concerns should be eliminating any debt, paying off student loans, and finding a great-paying job. That means staying mobile. You have to go where the jobs are. Buying a house keeps you locked in one location, and big fees and